

TEAM-03: BOARD OF DIRECTORS STRUCTURE AND GOVERNANCE

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I. EXECUTIVE SUMMARY

Carrington Storm Motors will establish a Board of Directors of 5-7 members upon the close of Series A financing. The Board will evolve from founder-dominated to balanced independent composition as the company matures. This document outlines the proposed board structure, committee composition, meeting cadence, director compensation, and governance policies.

The board governance philosophy is simple, stated in Williams Heuristic terms: The Board exists to ensure that the company is well-managed, that capital is deployed wisely, and that the interests of shareholders and the mission are served. Board members are fiduciaries. This is not an honorary role.

II. BOARD COMPOSITION

A. Initial Post-Series A Board (5 Seats)

Seat	Designation	Occupant	Role
1	Founder Director	Kairos Steele	Director and CEO; Chair of the Board
2	Founder Director	TBD (one of: Calder, Nash, or Vaun)	Founder perspective; operational insight
3	Series A Lead Investor Director	TBD (appointed by Series A lead investor)	Investor perspective; financial oversight
4	Independent Director	TBD (identified by Steele and Series A lead jointly)	Independent oversight; industry/governance expertise
5	Independent Director	TBD (identified by Steele and Series A lead jointly)	Independent oversight; technical/regulatory expertise

Board Chair: Initially, Kairos Steele serves as both Director (CEO) and Board Chair. This is appropriate for the current stage of the company. CSM commits to separating the Chair and CEO roles no later than the Series B financing round (projected Year 3), appointing an independent Chair to ensure proper governance separation between the board's oversight function and management's executive function.

B. Board Evolution (Projected)

Post-Series B (Year 3-4, 7 seats): - Founder Directors: 2 (Steele remains; second founder seat confirmed) - Investor Directors: 2 (Series A lead retains seat; Series B lead receives seat) - Independent Directors: 3 (one designated as Independent Chair, replacing Steele as Chair; one with industry expertise; one with governance/financial expertise)

Pre-IPO / Mature Board (Year 5+, 7-9 seats): - Founder/Management: 1-2 (Steele; possibly one additional executive) - Investor Directors: 1-2 (representing significant shareholders) - Independent Directors: 5-6 (majority independent, including Independent Chair, Audit Chair, Compensation Chair, Nominating/Governance Chair, and 1-2 additional independent members with domain expertise)

III. BOARD COMMITTEES

A. Audit Committee (Established at Series A)

Membership: 3 members. Composed entirely of Independent Directors or Investor Directors (no management directors). At initial 5-member board, this requires careful composition to ensure the 3 non-management directors are willing and qualified to serve.

Chair: Independent Director with financial expertise (CPA, CFO experience, or financial literacy as defined by applicable exchange rules).

Responsibilities: - Oversee the integrity of the company's financial statements - Oversee the independent auditor's qualifications, independence, and performance - Oversee the performance of the internal audit function (to be established) - Review and approve all related-party transactions - Oversee compliance with legal and regulatory requirements - Establish procedures for the receipt, retention, and treatment of complaints regarding accounting, internal controls, or auditing matters - Meet independently with the independent auditor at least annually

Meeting Cadence: Quarterly (aligned with financial reporting cycle), plus ad-hoc as needed.

B. Compensation Committee (Established at Series A)

Membership: 3 members. Composed entirely of Independent Directors.

Chair: Independent Director with compensation experience.

Responsibilities: - Establish and review the compensation of the Director (CEO) - Review and approve compensation for all executive officers - Administer the equity incentive plan (option grants, vesting schedules) - Review and recommend director compensation to the full Board - Oversee the company's compensation philosophy and policies - Produce the annual compensation discussion and analysis (when required by SEC rules)

Meeting Cadence: Semi-annually (compensation review cycle), plus ad-hoc for option grants and new hire equity.

C. Nominating and Governance Committee (Established at Series A or B)

Membership: 3 members. Composed primarily or entirely of Independent Directors.

Chair: Independent Director.

Responsibilities: - Identify and recommend qualified candidates for Board membership - Oversee the annual Board and committee self-evaluation process - Develop and recommend corporate governance guidelines to the full Board - Oversee Board succession planning - Review and approve management's succession planning for key executive positions

Meeting Cadence: Semi-annually (or as needed for director recruitment).

D. Technology and Risk Committee (Established at Series B or when Board reaches 7 members)

Membership: 3-5 members. Includes both Independent Directors and management (CTO attends as non-voting technical resource).

Chair: Independent Director with technical or risk management expertise.

Responsibilities: - Oversee the company's technology strategy and R&D portfolio - Review and advise on major technology risks and opportunities - Oversee the enterprise risk management program (see RISK-01) - Review and advise on cybersecurity strategy and incidents - Review and advise on IP strategy and patent portfolio - Receive regular briefings from the CTO on materials science and product development progress

Meeting Cadence: Quarterly (aligned with technology milestone review cycle).

IV. BOARD MEETING CADENCE

Regular Meetings

- **Quarterly Board Meetings (4 per year):** Full-day meetings (in-person preferred, hybrid acceptable). Agenda includes: CEO report, financial review, committee reports, strategic discussion, and executive session (independent directors only).
- **Annual Strategy Retreat (1 per year):** 1.5-2 day off-site session (in-person, Montana or other location). Deep dive on long-term strategy, competitive landscape, and multi-year financial plan. Management team attends relevant portions.
- **Special Meetings:** Called as needed for time-sensitive decisions (financing approval, M&A, major partnership, crisis response).

Meeting Materials

Board materials are distributed 7 calendar days before each meeting. Packages include: - CEO report (narrative update on company progress, key decisions, challenges) - Financial report (actuals vs. budget, cash position, projections update) - Committee reports and recommendations - Strategic discussion pre-read materials - Action items from previous meeting with status updates - Minutes from previous meeting for approval

Executive Session

At each regular Board meeting, the independent and investor directors meet in executive session without management present. The Independent Chair (or lead independent director, before the Chair/CEO roles are separated) leads the executive session. Topics include: CEO performance, management team assessment, culture assessment, and any concerns about company direction.

V. DIRECTOR COMPENSATION

A. Cash Compensation

Role	Annual Retainer (K/yr)	Committee Chair Stipend (K/yr)	Committee Member Stipend (K/yr)	Stipend (K/yr)
Board Chair (if independent/separate from CEO)	75	N/A (included in retainer)	N/A	N/A
Independent Director	45	2 (for meetings exceeding 4 hours)	15 (Audit), 12 (Comp), 10 (Other)	8 (Audit), 6 (Comp), 5 (Other)
Investor Director	N/A (typically compensated by their fund; CSM may reimburse travel expenses)	2 (travel reimbursement only)	N/A	N/A

Role	Annual Retainer	Committee Chair Stipend	Committee Member Stipend
	(K/yr)	(K/yr)	(K/yr)
Founder Director (non-CEO)	20 (in addition to employee salary)	N/A	N/A

Founder Director serving as CEO (Steele) receives no additional Board compensation. Board service is included in CEO compensation.

B. Equity Compensation

Initial Board Grant (Post-Series A): - Independent Directors: 0.25% of fully diluted shares (4-year vesting, 1-year cliff), granted upon joining the Board. - Annual refresh grant: 0.05% of fully diluted shares, granted annually after the initial 4-year grant vests.

Rationale: Director equity aligns Board members with long-term shareholder value creation. The 4-year vesting with 1-year cliff ensures commitment. The annual refresh grant maintains alignment after the initial grant vests.

Total Board Equity Allocation (from employee option pool, separately accounted): - Initial 2 independent directors $\times 0.25\% = 0.50\%$ - Annual refresh: 2 directors $\times 0.05\% \times 4$ years = 0.40% over the first 5 years - Future independent directors (as Board expands): additional allocation from pool

VI. GOVERNANCE POLICIES

A. Fiduciary Duties

All directors are bound by fiduciary duties of care and loyalty under Delaware corporate law (CSM will be incorporated in Delaware, with Montana as principal place of business):

- **Duty of Care:** Directors must make decisions on an informed basis, in good faith, and with the care that an ordinarily prudent person would exercise in similar circumstances. This requires: attending meetings, reading materials, asking questions, and exercising independent judgment.
- **Duty of Loyalty:** Directors must act in the best interests of the corporation and its shareholders, not in their personal interest. This requires: disclosure of conflicts, recusal from conflicted decisions, and avoidance of self-dealing.
- **Business Judgment Rule:** Courts will not second-guess board decisions made on an informed basis, in good faith, and without conflicts of interest, even if those decisions turn out poorly. Directors are protected from liability for good-faith business judgments.

B. Code of Conduct

All directors, officers, and employees are subject to the CSM Code of Conduct, which includes: - Honesty and integrity in all dealings - Compliance with all applicable laws and regulations - Avoidance of conflicts of interest - Protection of confidential information and trade secrets - Prohibition on insider trading - Prohibition on bribery and corruption (including FCPA compliance) - Fair dealing with customers, suppliers, competitors, and employees - Whistleblower protection and reporting mechanisms

C. Related-Party Transaction Policy

Any transaction between CSM and a director, officer, or significant shareholder (or their immediate family members or affiliated entities) must be: - Disclosed to the Board - Reviewed and approved by disinterested directors (typically the Audit Committee) - On terms no less favorable to CSM than an arm's-length transaction

D. Director Independence Standards

An “Independent Director” is one who: - Has no material relationship with CSM (other than as a director and shareholder) - Is not, and has not been within the past 3 years, an employee of CSM - Is not, and has not been within the past 3 years, a partner or employee of CSM’s independent auditor - Is not, and has not been within the past 3 years, an executive officer of another entity where any CSM executive officer serves on the compensation committee - Does not have an immediate family member in any of the above categories - Meets any additional independence standards required by applicable exchange listing rules (NYSE/NASDAQ) in the future

E. Director Education and Onboarding

New directors receive a comprehensive onboarding program: - Briefing book covering CSM’s history, technology, products, market, financials, risks, and governance - Meetings with the CEO, CTO, COO, and other key agents - Tour of the Montana facility (laboratory, and eventually pilot plant) - Access to the 6,302-document data room for independent review - Overview of director duties, governance policies, and committee charters - Meeting with external counsel (governance counsel) to review fiduciary duties

F. Board and Committee Self-Evaluation

Annually, the Board conducts a self-evaluation assessing: - Board composition, skills, and diversity - Meeting effectiveness and material quality - Committee performance - Director engagement and contribution - Areas for improvement

Evaluation results are discussed in executive session and inform the Nominating and Governance Committee’s director recruitment and Board development priorities.

VII. DIRECTOR AND OFFICER INSURANCE (D&O)

CSM will maintain Directors and Officers liability insurance (D&O insurance) adequate for a company of its stage and risk profile. The insurance covers: - Defense costs and settlements/judgments for claims against directors and officers for alleged wrongful acts in their capacity as directors/officers - Entity coverage for securities claims against the company itself - Coverage limits: \$10 million (recommended for post-Series A company with CSM’s risk profile) - Estimated annual premium: \$80,000-120,000 (dependent on underwriting, industry, and claims history)

CSM will also include indemnification provisions in its Certificate of Incorporation and Bylaws, and will execute individual indemnification agreements with each director and officer, providing the maximum indemnification permitted under Delaware law.

VIII. BOARD DIVERSITY COMMITMENT

CSM commits to building a Board that reflects diversity of expertise, background, perspective, and identity. This commitment is operationalized through:

- **Skills Matrix:** The Board maintains a skills matrix identifying the expertise needed on the Board (regulatory, technical, financial, governance, insurance, defense, international) and targets director recruitment to fill gaps.
- **Diverse Candidate Slates:** For every open Board seat, the candidate slate considered by the Nominating and Governance Committee will include diverse candidates (as defined by gender, race, ethnicity, and professional background).
- **Boardroom Culture:** Board meetings are conducted in a manner that encourages participation from all directors, with the Chair actively ensuring that all voices are heard.

IX. BOARD PRIORITIES FOR YEAR 1 (Post-Series A)

1. **Constitute the Board:** Appoint two independent directors and the Series A investor director. Establish committee charters and appoint committee members and chairs.

2. **Adopt Governance Documents:** Formally adopt the Certificate of Incorporation, Bylaws, committee charters, Code of Conduct, and related-party transaction policy.
3. **Approve Series A Use of Proceeds:** Review and formally approve the \$25M use-of-proceeds plan.
4. **Establish Compensation Framework:** Approve executive compensation for all officers (founders were previously compensated under pre-financing arrangements). Approve the equity incentive plan.
5. **Oversee Key Hires:** Review and advise on the 5 priority hires (manufacturing engineer, regulatory affairs manager, sales director, financial controller, and 2 senior materials scientists).
6. **Review and Approve Strategic Plan:** The operating plan for Year 1 (pilot plant construction, certification initiation, team expansion, utility pilot engagement).
7. **Risk Oversight Framework:** Approve the enterprise risk management framework (see RISK-01), including the Board's role in risk oversight.
8. **Begin IPO Readiness:** While IPO is years away, initial steps include engaging a Big Four audit firm as independent auditor, implementing SOX-ready internal controls, and beginning the governance maturation process.

END OF DOCUMENT — CSM-TEAM-03-v1.0